

First, we will offer additional actionable compliance resources—such as more conferences, events and other tools and resources focused on specific topics and challenges—for member firms of varied sizes and business models. Our team is eager to hear from our members about additional resources they would find most valuable.

Second, we will focus on strengthening the constructive feedback loop from FINRA’s regulatory programs to our members. In the course of our regulatory work, we often learn about potential compliance risks or issues at specific firms or across multiple firms, some of which may not be known, or even knowable, by the firms themselves. Sharing this type of information with member firms can help them improve the efficiency and effectiveness of their compliance capabilities, understand how their compliance programs compare to other firms, and potentially avoid issues that might otherwise develop into compliance failures. Efforts to date to enhance this feedback loop have proven the value of this approach, and we want to do more.⁸

Third, we will focus on reducing unnecessary burdens on member firms that arise from how FINRA conducts its oversight activities, without compromising the effectiveness of our regulatory functions. We recognize that FINRA’s regulatory work—including examinations, investigations, information requests, membership applications, etc.—requires member firms to expend compliance resources, in addition to business, technology, and operations resources. It is our obligation to conduct robust oversight of our member firms, but it is also our responsibility to do so in a way that avoids imposing unnecessary burdens, including by considering whether there are more efficient ways in which we can meet the relevant regulatory objectives.

Recent enhancements to our regulatory programs and the technology that supports them have already enabled us to perform our work more efficiently, and may also help us identify and eliminate unnecessary burdens for member firms. Steps we will explore include better calibrating data requests to ensure they align with the core regulatory need; improving lines of communication between member firms and FINRA to reduce redundant, overly broad, or conflicting information requests; and optimizing the scope, timing, or frequency of regulatory reviews based on firm business models or risk profiles.

We will be soliciting more detailed input from our advisory committees and other groups on how we can better empower member firm compliance in the ways discussed above, or otherwise. Member firms are also invited to share suggestions directly with their risk monitoring analyst or risk monitoring director.⁹

Combating Cybersecurity and Fraud Risks

FINRA is expanding its cybersecurity and fraud prevention activities to support member firms’ risk management capabilities and resilience against emerging threats and to better protect member firms and their investors from harm.

Cybersecurity and fraud are among the most significant risks facing investors, markets, and member firms, with the potential for significant business impacts and financial losses. The problem gets more challenging with each passing day, as we continue to witness a proliferation of new threat actors, more sophisticated technology-enabled methods, and an ever-expanding array of persons and activities being targeted. Fighting these threats requires new levels of information sharing and cooperation across the industry and regulatory agencies. We have heard from member firms that FINRA is well positioned to help support more comprehensive responses to these threats.

To date, FINRA has provided member firms with a range of resources for establishing a cybersecurity program, addressing cybersecurity vulnerabilities, combating cyber-enabled fraud, and identifying emerging scams.¹⁰ FINRA has also hosted cybersecurity-focused events to provide learning opportunities for member firms, including cybersecurity conferences and webinars with representatives of the FBI to discuss cyber and financial crimes.¹¹ And more generally, protecting investors—particularly senior investors—from fraud and other types of financial exploitation is a top priority for FINRA.¹²

While this work has been impactful, more is required to meet threats of this magnitude. And so, we are launching a third initiative to expand our cybersecurity and fraud prevention activities to further support member firms and their investors. Among other steps, we are establishing a Financial Intelligence Fusion Center as a dedicated program charged with collecting, analyzing, and disseminating cybersecurity and fraud threat intelligence to member firms in real-time through a secure portal. This Center will leverage internal and external intelligence sources to provide member firms with actionable insights on emerging risks and will focus on supporting small and mid-sized firms that lack dedicated intelligence capabilities.

We are also expanding our information sharing with firms to provide curated intelligence and strategic insights to enhance cybersecurity preparedness. These communications are intended to be timely and targeted to present threats, as well as tailored to the business models and vendor relationships of our member firms. We will also be seeking to expand our offerings of tabletop exercises and other tools designed to give member firms practical experience with addressing cybersecurity and fraud threats.

As with the other initiatives described above, FINRA welcomes feedback from member firms and other parties about additional ways that we can help combat fraud and cybersecurity risks. Member firms are also invited to share perspectives directly with their risk monitoring analyst or risk monitoring director.

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